

Answer Key & Explanations

Part 1: MCQs

1. **B.** Managers are the agents.
2. **C.** It is a form of moral hazard because it happens *after* the principal has invested their money.
3. **B.** Without explicit instructions, the agent (AI) has the freedom to act in ways the principal (human) did not intend, which is the definition of moral hazard.

Part 2: True or False

1. **True.** This is the basic definition of asymmetric information.
2. **True.** If the manager is the 100% owner, there is no "separation of ownership and control".
3. **False.** Autonomy equals *increased* risk, and technical guardrails are required to ensure alignment with human values.
4. **True.** Monitoring is known as costly state verification.

Part 3: Matching

1. **A.** Monitoring is the economic version of "auditability".
2. **D.** Guardrails function like restrictive covenants by limiting what an agent is allowed to do.
3. **B.** "Bad actors" seeking to use AI are a pre-contract/pre-action risk, similar to adverse selection.
4. **C.** Having a human "in the loop" acts as an intermediary check on the agent's behavior.

Part 4: Ordering

1. The principal provides funds.
2. Information becomes asymmetric (principal cannot see everything the agent does).
3. The agent takes a risky action (Moral Hazard).
4. The principal suffers a loss.